

Filling the **SKILL GAP**

Management education is essential to secure India's socio-economic sector

I wonder what would have transpired if the great Chanakya ran General Motors or what his mantra would have been during the economic recession.

Management practices have not been new to India as their existence can be traced back to the first book on management titled *Arthashastra* written centuries ago. If those basic principles in management could help build the great Mauryan empire, those very principles can aid in modern-day governance of large corporations too.

In the last 20 years, there has been a phenomenal growth of management education in India. The first milestone in management education was achieved when the two Indian Institutes of Management (IIMs)—Calcutta and Ahmedabad—were set up in 1961. In 1998, there were 400 institutes and the number rose to nearly 800 by 2003. In 2008, the number of business schools touched 1,700. The business education market in India was pegged at about Rs 3,000 crore in 2008 (campus and distance education), growing at 12 per cent CAGR in the last three years. All these schools put together churn out one lakh management graduates every year.

The number of applicants for MBA admissions is also a good indicator of the growth in management education in India. Over half a million students write five national admission tests to get into one good business school or the other. The IIMs are the most sought after B-schools in the country and all IIMs put together offer only about 1,800 seats. But they attract over two lakh applicants for these seats each year, figures thrown up on our TV screens by news channels before and after the famous Common Admission Test (CAT). I would attribute this to the prestige attached to the profession, the big pay packages that corporations woo the graduates with, career growth path and the image of some of the best B-schools in the country.

There are over 1,700 B-schools in India yet there is a yawning gap between the population and the number of B-schools. However, the quality of graduates that these schools churn out is often a bone of contention. While some argue that only the top-rung institutions produce the cream of management graduates, others in favour of second-rung schools argue that the quality should be attributed to the calibre, evolution and effort put in by the individuals and

not just the image of the institutions.

The other aspect of management education deals with its application. The reason why many B-schools prefer experienced professionals rather than freshers is because the MBA aims to build on the foundations of work experience. The new skills and knowledge that a student acquires during the programme enable him/her to make the transition to a higher level of responsibility in career.

With B-school graduates entering the industry, it is important to understand the demands and fill the skill gap. Today, organisations look for professionals who can multi-task yet provide support for niche areas based on the individual's area of specialisation, namely human resource, operations management and the like. Also, with companies competing against each other on a global platform, there is a need for professionals who have considerable amount of industry experience, sound domain knowledge and knowledge of best international practices.

If one were to describe an MBA degree, it is essentially a generalist qualification designed to give students a holistic view of how a business is run and equip them with the knowledge of all the major functions of a business as well as their interactions in practice. Nowadays there are programmes available for senior professionals like the Executive MBA that helps in maximising their contribution to the role they play in an organisation.

Contributing immensely to a developing country like ours are the successful small and medium enterprises (SMEs) which are the primary engines of job creation, income growth and poverty reduction. Young management graduates will contribute significantly in the creation of new business models, overcoming many infrastructural and resource constraints that the SMEs face.

In the next phase of growth, management graduates will add tremendous value to new emerging sectors within India, including the social sector. They are vital contributors to the success of India Inc. With more and more people taking up a management degree, it's time to look out for the 21st century Chanakyas and witness the building of many more successful empires.

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